



Note: Disney+ includes Hotstar; Disney+ was launched in November 2019; Source: Disney earnings report

strategy and made a big impact in the markets down south. Everything was done to bring family viewership and that worked well.”

To Menon, the options on the table are clear. “Disney cannot afford to lose the big-ticket cricket rights (IPL, ICC and BCCI). It will bid aggressively for all as losing them means a serious dent to the subscriber base,” he says. The logic is simple: valuations will be determined by the number of paid subscribers (rather, how many of them are on OTT). Menon emphasises how Netflix lost a quarter of its value on the back of a drop in subscriber base. “Disney is very well aware of this and will do anything to retain the top position.” Just the bids for the IPL broadcasting rights could go up to ₹30,000 crore.

While Disney officials do not want to give out a number, the thinking comes through quite clearly. Sunil Rayan, Head of Disney+ Hotstar India, says these are early days for streaming in India. “We still need the viewer to come in and sample it. Once 5G comes in, it can open up new features

on multiple streams. We will have an audience who will actually start from 5G and that is a huge opportunity.”

THERE WAS a high level of anticipation on February 9 this year among the investors of The Walt Disney Company.

Its numbers for the first quarter were to be announced. All eyes were on the company’s OTT business. The preceding quarter saw the subscriber base of the Disney+ platform increase by just 2.1 million and the stock was quickly down 4 per cent.

From a time when revenues and profitability determined the stock price, it now came down to just the subscriber numbers from streaming. The view is, with the business being in investment mode, garnering subscriber numbers is a priority. The investors weren’t disappointed. Disney added 11.8 million new subscribers, though analysts expected it to at best add 7 million. The total base stood at 129.8 million, with Hotstar (primarily led by India with other markets being

Indonesia, Malaysia and Thailand) alone at 45.9 million, an increase of 2.6 million. Importantly, this comprises over 35 per cent of Disney’s total subscriber base. India is estimated to have over 42 million, or almost one-third, of the total subscriber numbers. Wall Street’s investors ensured the Disney stock zoomed by over 8 per cent.

Nothing is as critical to Disney or its rivals as the number of paid subscribers on OTT. At a market capitalisation of over \$275 billion, the thrust on this number is so critical that Bob Chapek, Disney’s CEO, said the company was on track to meet its target of 230-260 million subscribers on Disney+ by 2024.

A former Hotstar executive, who worked under both Star and Disney, says the focus on the broadcasting business will be limited. “It comes down to Hotstar’s paid subscriber numbers and the need to retain them at any cost. Cricket brings in at least 80 per cent of Hotstar’s revenues. Losing the big rights will see the stock taking a hit,” says the executive who declined to be named.